could be considered an alternative investment.[11] Physical holdings in gold, silver, real estate, art collections, or personally-owned businesses are all part of someone's net worth and could also be considered as alternative investments.

A more current and concise way to describe an alternative investment is that it's an asset with its own unique economic and value-based characteristics that are separate from those of the primary investments of stocks and bonds. For an investor, the main concern is to have assets that perform in a noncorrelated fashion to stocks and bonds—which have historically made up most investors' portfolio models—and many alternative assets fit that bill.

If done properly, when the overall market has a severe meltdown as happened in 2008, specific alternative investments within portfolios may not decrease. Equally, in market upturns those same assets may or may not also increase in value; they may lose value, but such is the cost of overall risk reduction. As a small portion of the innovative investor's overall portfolio, alternatives are an effective way to balance risk and provide a cushion in the case of a stock or bond meltdown.

ALTERNATIVE INVESTMENTS AND THE INNOVATIVE INVESTOR

Today's innovative investor can build an investment portfolio and asset allocation strategy with a clear understanding of risk and reward, and the inclusion of alternative investments can